OI23: Why Capital Efficiency Is the Next Edge in Investing ft. Charlie McGarraugh

Podcast: Top Traders Unplugged

AI Executive Summary

Core Thesis In a shifting global macroeconomic regime—moving from the era of quantitative easing and volatility suppression to an era of "volatility inducement" driven by geopolitics and trade policy—successful investing requires moving beyond purely passive or purely reactive strategies toward an "adaptive" multi-factor approach. By utilizing the capital efficiency of futures markets to blend various risk premia (such as trend, carry, and reversion), investors can better navigate increased volatility and exploit the divergence between global markets, ultimately prioritizing optimal position sizing and drawdown management to maximize long-term compounding.

Key Arguments & Data * **The Shift in Market Regimes:** The era of low volatility driven by global central bank liquidity (QE) is being replaced by a period of high volatility induced by geopolitical tensions, trade wars, and re-industrialization. This necessitates strategies that can adapt to fundamental changes in market conditions rather than remaining static. * **The "Adaptive" Middle Ground:** Effective trading lies in the balance between two extremes: "passive" models that ignore new information (e.g., dollar-cost averaging) and "overly reactive" models that suffer from high transaction costs and overfitting. The ideal strategy scales its responsiveness based on the cost of changing one's mind. * **Evolution of Trend Following:** While traditional CTA (Commodity Trading Advisor) strategies focused on pure time-series momentum, modern approaches—like those at Altus Partners—integrate additional factors such as carry and reversion into a single, multi-dimensional portfolio to smooth returns and increase diversification. * **The Power of Capital Efficiency:** Futures markets provide a unique way for investors to access institutional-grade leverage and capital efficiency. This allows for the deployment of "portable alpha" and the ability to manage risk more dynamically than traditional long-only equity/bond portfolios. * **Product Management in Asset Management:** Successful ETF and fund creation requires a "product manager" mindset—identifying specific "jobs to be done" for clients (e.g., unbundling complex markets like Chinese onshore commodities) and building scalable, low-friction distribution vehicles via software and efficient packaging. * **The Impact of Sizing on Compounding:** While

many investors obsess over predicting returns, the true driver of long-term wealth is position sizing and drawdown tolerance. The mathematical difference in compounding potential between an investor who can stomach a 10% drawdown versus one who can withstand a 20% drawdown is exponentially greater than the 10% difference in the number itself. * **The Opportunity in Chinese Commodities:** The Chinese onshore commodity market offers significant diversification benefits due to its high volume, policy-driven nature, and potential for decoupling from Western markets due to de-globalization trends.

Actionable Takeaways * Reassess Risk Tolerance via Time Horizon: Instead of focusing solely on avoiding losses, evaluate how much drawdown your specific time horizon can actually tolerate. Increasing your capacity for volatility (within prudent limits) is a primary lever for maximizing compounded returns over long periods. * **Seek Diversification through Uncorrelated Factors:** Look beyond simple asset allocation (e.g., 60/40) toward "unbundled" risk premia, such as carry, reversion, and relative value, which can provide true anti-correlation to global equity beta. * **Utilize Efficient Instruments for Exposure:** When seeking exposure to specific macro themes or commodities, consider the use of futures and liquid ETFs to achieve higher capital efficiency and lower transaction costs compared to traditional physical or cash-market holdings. * **Prioritize Adaptive Strategies in Volatile Regimes:** In an era of shifting geopolitics, avoid "set and forget" strategies; favor investment products or methodologies that are designed to be responsive to changing market structures and volatility levels.

Full Transcript

And so the difference between somebody who can live with, you know, a 10 point drawdown versus somebody who can live with a 20 point drawdown is not like 10% more. It's like, it's like way bigger than that, depending on your time horizon. There's always arbitrage alphas in the world and people get spent a lot of time thinking about predicting returns on the basis of those things. But the sizing is just such an important piece of the puzzle. And thinking more about that, I think it's just a place that we're spending a lot of time thinking about and working on. Welcome to Top Traders Unplugged! In markets, success doesn't come from predicting what happens next. It comes from being prepared for what you can't predict. In each episode, we go deep with some of the world's most thoughtful minds in investing, economics, and beyond, to understand how they think, how they prepare, and how they decide, and the experiences that shaped how they see the world.

No noise, no shortcuts, just real conversations to help you think better and invest with confidence. Hello and welcome to another episode of the Open Interest series on top traders unplugged. This is episode number 23 and I'm your host, Moritz Siebert. I'm joined today by Charlie Megara, the CEO of Altus Partners. Altus Partners was founded in 2000 as a trend-following CTA business and has since evolved into a macro-focused trading firm with a focus on combining factors such as trend, carry, and reversion all into a single portfolio. Additionally, Altus functions as the sub-advisor to two US domiciled ETFs that are managed by Simplify, and this is now by far the largest part of the business, at least in terms of AUM.

Charlie looks back on a long career at Goldman Sachs, including metals trading, and then got involved in a sports betting business, which I personally find very interesting. We'll get into that a little bit later, I guess. And that one got sold to blockchain.com. Following this, Charlie acquired Altis Partners. So Charlie, let me stop there because you can add much more detail and background and make it more interesting. Let me say welcome to open interest on Top Traders Unplugged, and I hope we'll have a very interesting and cool conversation. Awesome. Well, thanks for it.

Excellent. Look, I mean, I gave a little bit of an intro. You have a, my understanding is you have a long career at Goldman. You were a partner at Goldman Sachs in working in the US, working in London. You are from the US, but you moved over to London, then started trading metals. Give us a little bit of background on Charlie, yourself, and the sports betting piece and how you came to acquire Altis. Sure. I'll try to keep it pretty brief.

Because the markets and the products and the strategies are the interesting part. And me, I'm boring. And boring is good in asset management. That's what we hope. So I joined Goldman Sachs right out of undergrad and majored in math and econ did pretty well. I've worked on a number of different desks, including emerging markets and mortgage trading and ultimately the commodity business. I started in New York and one day they said, you're moving to London. thought that would be pretty fun and interesting adventure, and it was. We traded mortgages throughout the post-crisis world where there was a lot of distressing Europe. And eventually, again, as happens in these big firms one day, it was sort of made clear to me that management wanted me to move to the metals desk. This is 2014. And I did. It took quite a while to adjust.

to a trading environment in listed futures, where the product is relatively simple, but the market structure is extraordinarily complex. Very different than asset-backed securities and structural finance, where it's pretty easy to understand who's buying and selling and stuff. It's a relatively specialized product, but the products themselves are complicated. So a very different beast in the dynamic world of liquid macro. And that took a little bit of learning. Now, I realized that this is now the mid-2010s, that the markets already had significantly electronified. And that if I was going to be good at this new thing, it wasn't enough to understand sort of just valuation. I really had to have a better understanding of the dynamics of the market. And the old model where it was kind of voice trading and a big sales force making phone calls was not enough really to understand, particularly in a market.

that had asymmetric information flows like physical commodities often do. At that time, China was dominating the base model flow, and it was very difficult to get a sense as a Westerner sitting in London what was really going on on the ground there, driving base models. So it took a little while

to adjust. And I kind of arrived at the inclusion that I really wanted to have computers help me trade. And that a data-driven approach might be might be the better way to do it now. I had backed the sports betting business there in a few years prior to my departure from Golan and This is now 2016. I decided to leave Golan and work on that under the basic theory of Sports are interesting. They lend themselves all the statistical analysis. This will be a good way to get an education and in this new toolkit called machine learning and AI Like many things in my life, early is the same thing as wrong. I was a little early on that one, perhaps, but it was good to get the education. And the sportsman business was a difficult business because the barrier to entry is very low. And because of the seasonality of the entropy in the business, you sort of the season start, and then you learn more about the players.

It just didn't really capture, I guess, my heart or my desire for scalability on the same way. Now, I know there's people who do exceptionally well at it. But I decided by about 2018, it was time to pivot to crypto. Crypto had been incredibly interesting. Crypto had this really interesting property that the deeper you looked at it, the more there there was. I sold the business to blockchain.com in 2018. and join there and sort of working on institutional trading with the team there. Was it still a sports betting business that you sold to blockchain or was it a crypto business? No, I mean, it was more of an Aquahire. It was sort of like we're going to pivot it from sports betting to crypto. We've got a good software engineering capability, good concept of trading. And let's just change it up to something that we think can scale on as maybe more dynamic now. I know people have done really well on.

Sports betting and now prediction markets are all the thing. So Yeah, I guess everything moves in cycles but but at the time it felt like the right move and Yeah, so While I was up watching Stephen Hedgecock who is Altus's CEO. I'm actually the CIO of Altus Stephen Hedgecock had been a board member had been a board member of the the betting company and He called me and let me know that his partner who had founded Altus had died in an avalanche while skiing in 2019 and Stephen was saying to me, we have a lot of IP in this business. It's a pretty interesting business. Do you want to have a look? And so I started looking at it in late 2019 and by 2020, I acquired a stake in it. The theory of the time being that the math of how

do you trade levered stuff competently was directly applicable to crypto just as much as in futures, which I think probably still is. So, we thought maybe we'd build an asset manager using Altus's IP in a JD block chain. But in any case, I acquired the stake in Altus in March of 2020, right as COVID hit, and then started work with the team on a carve out of my time working on the systems and then ultimately ended up moving to Altus full time in 22 as the crypto markets were pretty bumpy and I felt like a pivot to rematerialization, reindustrialization and trad-fi was going to be a thing. And that macro volatility was going to start to pick up again, which it clearly has. So yeah, so that's the story of the long journey into Altus. But basically, I bought a stake in Altus. Altus had been founded in 2000 as a trend follower with some interesting IP around. Yeah, tell us a bit about the history. You started in 2000. So more than a quarter of a century ago, that was obviously not with you.

No, maybe still in college, maybe you were already at Goldman's, but it wasn't with you. Yeah, all of this was founded the same year I joined Goldman and Stephen Hedgecock and Natasha Reapgrey and Alex Bruneland and Swish Romeshevsky were the four founding partners. Natasha moved on sometime later and then Swish tragically died in 2019. But back in 2000, it was kind of the heyday of CTAs. built the business up over the course of that decade for 2000 to 2009, let's say. And it was really focused on trend following with a couple of alternative indicators in there, but really a tape reader basically with some pretty good IP around portfolio construction that to this day, I think is fit for purpose. And then the business grew and grew over the 2000s. And then as you will have Undoubtedly discussed on previous episodes, trend calling was terrible in the 2010s. The amount of liquidity provided to the market via QE and the volatility suppression, you basically got a governmental complex globally saying, here's giant piles of low velocity free money and the job is to suppress volatility, right? And that was just kind of inimical to the returns of the trend factor. So, Altis, had a tough run of performance in the 2010s. It took them a little while to figure this out. By the mid-2010s, they were pretty aggressively refactoring the system and thinking through how to be a bit more multi-dimensional in terms of the risk premia that they were attempting to access and more advances on risk management and portfolio construction. And then they did pretty well.

But then Swish died in 2019 while skiing. And so that kind of put the kibosh on that part of the firm's journey. And then I sort of showed up in the picture and bought the CIO steak. So back then, I think you've just mentioned it was focused on trend following with some advanced techniques around portfolio construction. And then I think after you've joined, you introduced a new program. then you're trading strategy, which I think is the enhanced macro programmer. If I'm not mistaken, that's the name. So is this still anchored in systematic time series momentum or trend following? Or is it now more of a combination of all sorts of different things like a multi-strat quant type of program? It's a bit of both. I'd say it's an evolution of the longstanding trend program that had existed at Altus called Google Futures portfolio. So it was an addition of additional factor return prediction systems inside the context of a similar portfolio construction IP layer. So yes, it is very much a sister or sibling product to the product that has always been at Altus, which is fundamentally a trend CTA.

But it attempts to address that problem, which I think is familiar to any kind of CTA and systematic trader, which is trend following is great. It's got scale. It's got anti-correlation to global growth beta, typically, and crisis alpha. But it's also episodic in its returns. And it's a bit difficult to stick with. It's kind of like eating your vegetables. You know it's good for you, but it doesn't always taste great. And so, like many... People in this space we started thinking about like do we want to break out of that kind of? Intellectual rut above, you know pure trend plus nothing else kind of thing and start thinking about blending other types of risk premium into into into the system, you know the IP is quite fungible if you've got decent predictors for the variance that you might see in the market then you might try to try to access them in some way so You know, I kind of, I kind of look at it. It's like, it's like a, it's like a game. It's like, it's like every day, there's just massive cross-section of movement that happens across all these things that you could trade and mostly the market is noise. So it's sort of well-documented that momentum maybe has some, um, you should pardon the pun, persistent ability to explain some of them, that, that, that cross-section of that noise, which, or that movement, which is mostly noise, but it could there be other, other sort of known things in there. And then, you know, so that was one thing. And if you got decent predictions, then it's easy enough

to start thinking about risk managing around them and sizing them up and blending them in to be optimizer. And so that's really kind of the approach we've taken, which is like, hey, there's nothing really new under the sun. It's like, it's sort of like positioning momentum and value. And we just, we want to start to do more than just deliver the unadulterated momentum.

because we think ultimately what clients want is returns and anti-correlation and capital efficiency. So I'm just trying to get in there and predict more, basically, without overfitting. How many markets do you guys trade in that program? Yeah, we're trading something like 150-ish markets across many, many regulated exchanges all over the world. And that includes a maybe there's this I was asking this Maybe out of schedule because it will lead to a question that I will later have Related to the ETFs that you're supp advising on but so in that in that futures portfolio training all the markets equities FX bonds Commodities everything across the board equity index fixed income stir FX commodities. Yeah independent back count like so many others in the space Yes. Okay, got it. So this is then probably a differentiator to the performance in one of the ETFs or in both of the ETFs that you sub-advise on because these ETFs are not allocating their risk across all of these markets that you've just mentioned, but only to a subsection of them. Without getting too deep into any specific product, The investable universe that one selects it can vary across products for sure. Yes. Before we go into this, more from a holistic perspective, when you look at our industry, the CTA trend following hedge fund industry, if you will, what would you say are the most important themes these days? What is changing? What is strategically important? What's happening right now that gets your attention?

It's a great question and there's a lot happening in the market, right? And I think the structure of the business and the curation of the product set is as interesting as I guess the underlying trading systems themselves. So if you think of kind of like a design space of what kinds of investment strategies could a person build or invest in, it's like the thing I like to think about the most is reactiveness to new information. Right there's an entire school of thought out there your passive act lights were like hey, anything you learn the market so smart that that anything you learn has no value. You should not attempt to react to information because if you do you only hurt yourself

right. So like that would be like one extreme view which is like the change in my behavior relative to a change in new information is zero.

And that's basically like dollar cost averaging passive and amazingly something like 60% of the market is on that theory of the case. At the other end of the design spectrum is sort of how much will I react the information? I'll react a lot. Every time anything changes, I'll just redo my whole book. And we know that if you're that reactive, you're probably going to bleed out on transaction costs and pay too many commissions and slippage. You're also probably going to overreact and If you're using computers to do it overfit, right? So I guess my view is like there's probably a happy middle. And interestingly enough, there's not that many people in that happy middle. So CTAs and futures trading are really interesting because futures are great for reacting to changing information because they're really efficient way to move a lot of risk around.

Not just efficient from a sort of transaction cost and transparency perspective, but they're also efficient from a capital efficiency and leverage perspective It's kind of like the only way that normal people can get access to borrowing as cheap as like a bank can just Synthetically by virtue of the way the the futures are set up. You're basically getting access to institutional funding which is market Yeah, exactly and that's and that's like that's pretty great. You know more most normal retail people, even trading an emerging account, it's pretty expensive to get access to leverage. I think that historically, maybe the CTA industry hasn't called out the value of that dynamic leverage enough, or the value of that capital efficiency enough. You're starting to see a focus on things like return stack and portable alpha, but the direction of travel for me, that I think is most interesting is this question of capital efficiency. It's like capital efficiency combined with dynamism and reactivity. It seems pretty dumb to just be like, my view will never change no matter what information I'm learning. That's 60% of the flows in the market. It's like passive financial assets. Under that theory, you'd be buying bonds with a negative yield. It also is obviously terrible to just trade way too much and die of transaction costs and overfit.

So that middle case of what's the optimal amount of reaction to changing information, it seems like it should be related to whatever the cost of

changing your mind actually is. And so from that perspective, I think there's a story to tell about how much adaptiveness is the right amount of adaptiveness and how much should I be willing to pay transaction costs for the ability to adapt. And what I would kind of offer out there for people is, This world seems like it's changing a lot faster than it did during the QE era. So wherever you were in that design spectrum before between I never changed my mind at all and I changed my mind too much, you're moving more now over the last five years in the direction of I want to adapt more and be more adaptive. Because the amount of fundamental volatility in the world is just picking up. Like you've got geopolitical stuff, crucially versus pre-COVID and really before the election of Trump won and Brexit.

The government was in the business of volatility suppression just globally and now the government's in the business of volatility inducement. Starting wars, trade policy tariff, you name it like they're in there and they're stirring the pot. And that means you need to change your mind because the fundamental conditions that you're operating under are meaningfully changing. And so my view is adaptive is interesting and there's no place more efficient to be adaptive in all kinds of things that matter than the futures markets. And for that reason, there's this sort of latent demand that people don't even know they have yet for adaptive investment product because the world's moving faster than ever before. And yeah, and so I think when I think about the structure of the market, it's like how can that value prop be delivered to which segments of the potential total addressable market? And it's not just high net worth individuals or family offices or institutions who buy high fee hedge fund product, although that is an important part of the business.

There's also opportunity at, you know, in other distribution channels for various flavors of, you know, adaptive and efficient, basically. Gotcha. What I'd like to understand a little bit better is how it came about, how it happened, what triggered your involvement as a sub-advisor to the ETF space. Because, you know, you started in 2000, or HALTIS started in 2000 as a CTA, like many others. offering their products, I guess, to private investors with individuals and so on and so forth. In a private fund or in SMAs, segregated managed accounts. And now most of your AUM are R&ETFs you're supervising on. with Simplify in the US. So how did this

happen? Was this an intentional change to say, okay, we're going to go down the ETF route because this is where the money is going to be. This is the fastest growing part of the market or was it more like happenstance? You ran into the right people at the right point in time and it happened that way? Yeah. I mean, it's kind of a little both. So they say luck is a combination of sort of Preparation I guess something else. I don't even know what they say but but basically it was there was an element of luck to it I ran into Mike Green at a macro conference at Bretton Woods in summer of 21 and Might have been a client of mine at Goldman long ago and and a good friend as a fellow sort of student in the market and We got just talking and he was like oh I've joined this this new Active ETF firm And I'd really like to build a bunch of cool things. And one of the things I'd like to build is a managed futures ETF. And I was like, well, funnily enough, I just bought a futures platform kind of serendipitously. And I think it's got pretty good IP in it. So maybe we should collaborate. And we did. And then six months later, we were launching product on stock exchange. So that said, I was pretty open-minded about it.

And that was the preparation side which is I had work in fintech with direct-to-consumer stuff in crypto I think I understood pretty well at that point after having been in the tech industry for a good I don't know what is it six years after leaving Goldman about how platforms can scale and and what the the unit economics can look like when you when you're building a scalable Direct you know direct distribution business that is powered by the leverage of software and I felt like I was not as precious about only having a single distribution channel. I just sort of felt like the firm has just one product, which is trading IP. And lots of different means of packaging that IP. And not all packaging are created equal. Some packaging's when their sales better to scale, but a little bit lower resolution. And then other packaging's can get to a much more granular...

trading approach and are more suitable for complexity. And broadly defined, I'd say that it would be like mass market listed product versus hedge funds. There's just things you can do inside a hedge fund or an SMA that you just can't do inside an ETF. But ETFs have this incredibly low client acquisition friction and they scale. if it's a scalable risk-free media that you think can add value to the client base and it's comprehensible, then

I think the ETF is a great package for it. So in 2021, when you ran into Mike at Bretton Woods and you started to think about collaborating on an ETF project, how did you go about designing that ETF, which, you know- Right, so- So because at the time, you already had replicating ETFs out there.

Yeah, and that would that would have been an option, but I think you correct you decided against that right some words I think yeah Yeah, it's a great question. I think this is like where the experience on the tech side really is relevant You know in the financial industry we sort of talk about the word PM and it means something very specific It means portfolio manager But all these crazy tech people running around they also use the word PM and it means product manager Being a product manager. I think is equally or even more important Then being I mean, it's you know, it's the asset side is is always important. It's a returns based business being a portfolio manager is always important in in management risk is always important, right? Okay for the avoidance of doubt, but the liability side of the business, which is how do we build a product that that? potentially services a need in in a particular segment of a of the total addressable market I think is also a really interesting question and so Without getting too heavy into the specifics of any one ticker Again, there's a spectrum of design choices that you can kind of think about. One of them that I think is really important is if you're going to build a liquid alternative product, is it designed to be an uncorrelated absolute return stream? Or is it designed to be a statistical hedge of some kind? Or even a contractual hedge? So defined outcome versus statistical outcome and hedge versus just uncorrelated returns.

Those are all different choices that you can make on the menu and turn the knobs in terms of product design accordingly. And one of the things that tech people will say is you're always trying to think of jobs to be done. What is the job that needs to be fulfilled by a particular product? So it's sort of like you have the technology at the center, then you have the product that you've built to hopefully solve an actual problem from the client's perspective, then you have a go-to-market strategy. And then you have a business filter on the go to market strategy. And so for us, it was a case of like, if we're going to try to build things that are number one, capital

efficient, number two, really pull out the diversification side of the puzzle. You know, obviously you want more return, more diversification and more hedge-like properties. Those are all good things, but everything comes in a package of trade-offs. And it's like, how do you think through that? So there's, you know, a long conversation between my team and Mike's team around some of the choices that we could make and that involved curating the investable universe and thinking about the different types of alphas and risk management methodologies that could be an offer there. So that's kind of one thing. And then I think you asked something about replication versus, you know, our internal signals. Well, it's no replication, yeah, because you run your own system, your own signals.

Yeah, I mean you look The cool thing about software is it scales right once you build it It's marginal cost of deployment is relatively low It's opportunity cost if it's a capacity constraint strategy. It's opportunity cost of deployment may be very high But if it's a scalable thing that can be delivered with software, I guess my view was eventually if somebody else will deliver it if they're any good so we might as well right again the firm has one one product is trading IP and Our goal is to try to put as much value down every distribution pipe as the pipe can handle Right from a you know the packaging of those sort of daily rebalance ETF only allows for certain types of types of things but Again maximum value for the package and then just try to you know create value for clients And so I wasn't very precious about it and maybe also my background as sort of an outsider to system I've trained I'd grown up on the cell side I'd grown up in Cattle structure and derivatives valuation stuff not not really time series optimization stuff If I think it just made me a little bit more of an outsider and it was like, oh, well, you know We have the site people might as well deploy it in new and interesting ways And so we did give us a little bit more background I mean the the first ETF you started in cooperation with simplify. I think you're only Referencing the commodity markets and the fixed income markets if I'm not mistaken. So you're missing currencies and you're missing equities What were the driving factors for that decision? Because these are important markets. They are liquid markets. They scale. They have momentum, but you raise them from the portfolio. Yeah. I mean, again, it's a trade-off between correlation to global beta and returns. It starts with a

perspective of, where can I add value incrementally to the client? If the client is...

an advisor who's already got clients on their side who are chalk to the gills full of financial assets, then just stacking more equity beta in there, even if it has a positive return associated with it, may not be the way to really give them a distilled value proposition versus other stuff. You want to differentiate and basically be like, here we are. For some of the products, it's basically capital efficient diversification. is sort of what you're calling out. Now, I think it's a challenge in the market because, and this is true actually on the institutional side too, not just in the sort of mass market channel, which is that no matter how much people talk about the value of alpha and the value of anti-correlation and the value of non-recourse leverage, at the end of the day, they also want to see absolute returns. It just makes every conversation less complicated.

And even if you're working with an incredibly sophisticated advisor or capital allocator as your client, they will invariably have some committee or third parties that they have to explain the complexity to. And so everything is just de-frictionalized to the extent it's got a nice return on it. And that's why I think a lot of bundled products that just a lot of equity beta in them. tend to be attractive for business builders in the liquid space because it's just like, okay, well, you're kind of playing the game on easy mode in terms of putting up returns. And that said, my view is that in the future, more and more of the portfolio construction process is going to be carried out by machines that are looking for mean variance optimization of variance flavors.

Trustworthy brands will matter and headline returns will matter but also The covariance properties of your product will matter a lot and probably increasingly on the margin and what's really cool about this sort of active strategy space is that Unlike passive ETS, which are just a race to the bottom on fees and just a pure economy of scale game You can actually differentiate a lot as an active manager as a small guy Right because you there's a huge amount of choices to make in the design space of types of stuff to build and what its value prop might be. My theory is recommendation engines and recommendation systems are likely to become

more important. Agenetic allocation is likely to become more important. In that world, the numbers will speak. People care about the numbers that will matter, our liquidity, length of track.

in correlation to other assets in the portfolio and the higher moments of the covariance properties just sort of generally out there and liquidity. And so, yeah. And so we're just trying to build for that. And you can do that in different ways. You can do it by curating the investable universe. You can do it by curating the signals. And you can do it by curating the portfolio construction methodologies. Or I'm sure there's other ways too. All three of them at the same time. Yeah, or other stuff we haven't even thought of, right? But there's always more to do. But anyway, that's how I think about it. And I think when you think, just again, to make a comment about the business on the distribution side, when you think about those advisors, I would recommend anybody who's interested in this scalable distribution stuff, go spend some time with some advisors on either side of the pond.

start talking about what's valuable for them and what's valuable to their clients. It's like half the job of the advisor is psychotherapist. Because no matter how well off you are, money makes you anxious because the cost of screwing up is really high. And so a big piece of what the advisor does is this relationship management, which is designed to assuage anxiety. And that's really good thing, is people need it. But another piece of the job, I'd say probably 30%, is tax and estate planning. Just being efficient, making sure you've done things the right way and have thought about stuff. Everybody's situation is unique. It's complicated, right? And then there's 20%, which is actual investment selection and portfolio construction and allocation. And that last 20% is getting more and more mediated by software. So it's kind of like SEO. It's like you want to build products that can get picked up by whatever those software systems are if you want to scale.

at least in that distribution channel. And so that's kind of how we think about it. Well, and you did scale with that ETF, I think it's fair to say. More recently, I think Charlie, it was earlier this year, you started self-advising on another, I think the second ETF together with Simplify that has a specific focus on Chinese on-shore commodities. Speak a little about that. What

makes these markets interesting? That would be my first question. And the second question I would have is why a pure Chinese commodities focus? Why not again a mix, a more diverse mix that includes maybe other commodities or then currencies or then equities in addition to these very presumed, very diversifying Chinese onshore commodities? Why this pure play?

To me, it sounds like a little bit limiting, but I might be wrong. I'd like to hear your opinion on this. Yeah. I'll start with, again, without going too deep on any one product. I'll speak in generalities first about Chinese commodity derivatives. The Chinese futures markets, they're very large. They trade a lot of volume. The contract sizes are small, but a lot of volume goes through. That's interesting and China is something Yeah, these never changed your time But but let's say it's it's order of magnitude a third to half of the just overall Molecular and energetic flows of the the human economy of planet Earth. It's like it's like it's like not small and and it is interesting and it's also heavily policy-driven and because the systems between the West and the East are Financially not that interlinked although physically highly interlinked there's a chance for some segmentation in the market to create some, you know, independent bets to make. And that's interesting. I think there's a strong argument to me that there's real diversification benefit in some of this stuff. The second thing is, I think historically, the market structure in China was just completely different than the market structure in the West. And as a result, different types of risk-premia pertain, like in particular, Short-term momentum seems to work better in China than it did in in Western markets You know people love short-term momentum when it works because it's like it's like a high book turnover You know the number of bets is high Which which directly translates if you have a positive edge to a decent ROE That's not very capital intensive and of course longer wavelength risk premium require longer commitment of capital and therefore are more capital intensive So that's sort of desirable now some of our research suggests that the Chinese commodity markets momentum factor is extending its duration and that might be a function of both the markets becoming more sophisticated and maybe incorrectly a little bit more interlinked with the West although that second thing I think they're likely to maintain sophistication and get more sophisticated But their degree of interlinkage with the Western system I think is it could easily Go

backward not just not just forward as we've seen with some of the trade policy stuff in the last couple years And that's another reason I think to possibly be in there, which is like, if you get this sort of de-globalization impulse in the system, you might see pretty heavy divergence between onshore and offshore markets. And again, get some independent bets to make, which is never a bad thing in the context of an active trading book. So that's the first, I guess, the first question, which is they're interesting, they're different and they're active and they're skilled there.

Why do it as a single isolated product? That's really more about a client-side perspective of user choice. It's like, here it is, right? It's not the easiest thing to have on. It's expensive to access it, generally speaking. There's some structure in the market in order to navigate the complexity of cross-border or financial arrangements. You typically have to trade these things via swaps with other dealers and stuff, and none of that is frictionless. So we wanted to basically pull that out and basically be like if you want this, if you want concentrated ability to kind of dial your own exposure in it, then here it is. And again, it's like, what does software do? Software unbundles and re-bundles. And in this instance, because it's sufficiently kind of out there offering for Western allocators of any flavor to decide to allocate to, we wanted to like pull it out as a sort of standalone.

as a snowballing thing to give people that choice. We thought we'd be done on Monday. Right. Is this one trading a pure time series momentum trend following model or does it also have other factors and flavors on top of like, you know, classic systematic trend? It has some relative value stuff on top of the trend, on top of the trend factor. Cool Charlie. Well before we close it down any Anything new any new initiatives new ideas stuff that you're working on or maybe you cannot share it But you know things that keep you excited at the moment. I mean, I am Again just obsessed with this concept of capital efficiency and leverage. I think the market just does The average advisor and the average retail person in in the market generally thinks of leverage as like It's three X levered micro strategy or Tesla. It's like gambling product that that is sentenced to death by volatility drag basically but capital efficiency is something that that everybody likes and I'm really interested in in in sort of packaging that capital efficiency and getting more focused on cagger For people and the sort of like where's that

efficient frontier sort of prudent leverage management? I think most systematic traders when they're when they're packaging up client strategies for clients. At least, at least sort of fungively leverageable strategies like you can in futures by changing the margin equity dynamics. They sort of saying like, hey, what margin equity should I run this thing at? It's a question of my own risk appetite. And that's fine. And that makes sense. Totally makes sense. But I think an interesting and related but different question is How far could I push the envelope prudently in search of compounded returns? We all know that you can't bet 100% of Kelly because Kelly's brittle. And if you have estimation error, you will hurt yourself. So 100, greater than Kelly for sure is bad. And then even at Kelly, full Kelly, it's like, you've got to be really confident in your, in your estimations that distribute. Yeah. So just, just stepping in there for.

because what you're talking about is fractional Kelly bet sizing and it's like the Kelly criterion, just for listeners who haven't heard their term. Yeah, go on. But the issue in our business is we do not have defined odds. So even coming up with a fractional Kelly is kind of like, yeah, well, it's not a precise exercise. Not at all. And so it gets pretty philosophical pretty fast, but But if the question you're asking yourself is, for some pool of capital, how do I compound returns as softly as I can while being indifferent to the risk? All I'm trying to do is prudently maximize my expected return. Then how far can I push the envelope? And if you knew what the odds were, the optimal leverage, you have to be smaller than that. But picking that fraction is really a game of estimation error.

And thinking about how do we know what we know? And how can we be humble about it while at the same time doing the fundamentally unhumble thing of really leaning into it? And I guess the observation I would put out there, which I think is really interesting, is that the incremental returns for being able to stomach a little bit more drawdown when you start talking about compounding through time is really, really big. Right? And so the difference between somebody who can live with, you know, a 10 point drawdown versus somebody who can live with a 20 point drawdown is not like 10% more. It's like, it's like way bigger than that, depending on your time horizon. There's always arbitrage alphas in the world and people get spent a lot of time thinking about predicting returns on the basis of those

things. But the sizing is just such an important piece of the puzzle and thinking more about that. I think it's just the place that we're spending a lot of time thinking about and working on.

Excellent wrap. Thank you, Charlie. Thanks for joining me on the podcast today. It's been great. And I hope our listeners will find it interesting and informative as well. A quick note to everyone. As usual, I'll put the most important takeaways of my chat with Charlie into our show notes. And please remember that you're always welcome to submit questions to us in case you have any. Our email address is info at toptradersonplug.com. So thanks for listening. And until next time on Top Traders on Plug. Thanks for listening to Top Traders Unplugged. If you feel you learned something of value from today's episode, the best way to stay updated is to go on over to your favorite podcast platform and follow the show so that you'll be sure to get all the new episodes as they're released. We have some amazing guests lined up for you and to ensure our show continues to grow, please leave us an honest rating and review. It only takes a minute and it's the best way to show us you love the podcast. We'll see you next time on Top Traders Unplugged.

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